Juicero: The $120 Million Machine for a Job Your Hands Do Better

Teaching Case (HBS-style) — written for this course

Prepared for: TUM Entrepreneurship Course: Prototyping Entrepreneurial Ideas for AI

Decision Point: Winter 2015–16 — Launch Weeks Away, $70M Series B Closing, and Nobody Has Squeezed the Bag

How this case ties into Module 00

This is the kickoff — and Juicero is the entire course compressed into one autopsy subject. Work four connections as you read: (1) **Idea 1 — startups die of self-inflicted wounds:** nobody killed Juicero — no competitor, no regulator, no recession. It executed brilliantly on a product nobody needed; your job in the Startup Autopsy workshop right after this discussion is to timestamp the fatal wound. (2) **Idea 2 — evidence beats opinions:** the case turns on one experiment that costs €0, takes 90 seconds, and was available to everyone for three years. Nobody ran it — or nobody let the result matter. (3) **Idea 3 — speed:** Juicero spent three years perfecting before learning anything; this course demands you learn in days. (4) **Idea 4 — the course contract:** Exhibit F is the semester's overture — every question Juicero never asked is a module you are about to take. And discussion question 6 — write the kill criteria — is the habit this course enforces from week 0.

Introduction

On April 19, 2017, Bloomberg News published a story with a video attached. In it, two reporters take a Juicero Produce Pack — a single-serving pouch of pre-chopped fruit and vegetables — and squeeze it with their bare hands. Juice comes out. Quite a lot: about 7.5 ounces in roughly 90 seconds. Then they feed an identical pack into the Juicero Press, the $400 Wi-Fi-connected machine built for exactly this job. The machine produces 8 ounces — in about two minutes.

The hands were faster. The juice was nearly identical.

Within hours, Juicero was a global punchline. Two of its own investors told Bloomberg they were surprised the packs could be squeezed by hand. By September 1, 2017, the company had suspended sales, offered refunds, and gone looking for a buyer. None came. Roughly $120 million of venture capital — from some of the world's most sophisticated investors, including Kleiner Perkins and Google's venture arm — was gone, about seventeen months after launch.

Laughing at this in hindsight is easy, and useless. This case does something harder: it rewinds to the winter of 2015–16, **before the launch**, when Juicero was one of America's hottest hardware startups and every fact above was still avoidable. The machine is engineered, the packs designed, the Series B closing, the launch set for March. Everything the Bloomberg reporters did in 90 seconds could be done that afternoon, for free, by anyone in the building.

The question is not "why did Juicero fail?" You already know. The question is: **sitting in that room in January 2016, with that information and those incentives — what would you have decided, and what evidence would you have demanded first?**

Background

Doug Evans and the Church of Raw

Doug Evans was no tourist in the juice business, and no cynic. He was a true believer — a committed raw-food vegan who had spent more than a decade building his life around the conviction that fresh, unprocessed plants change lives.

In 2002 he co-founded **Organic Avenue**, a New York raw-food and cold-pressed juice chain that became a Manhattan wellness icon. Evans sold it to an investment firm years before it collapsed; in October 2015, Organic Avenue abruptly shut all its stores and went bankrupt — at almost exactly the moment Juicero, his second act, was preparing to launch. The omen went unread.

Evans founded Juicero in San Francisco in 2013 with a thesis he gave Recode in words that would follow him forever:

> "I'm going to do what Steve did. I'm going to take the mainframe computer and create a personal computer. I'm going to take a mainframe juice press and create a personal juice press."

Commercial cold presses were huge industrial machines; Evans would shrink one to the countertop, and Americans would finally drink fresh juice at home. Nobody doubted his sincerity — which is exactly what makes the case worth studying. Juicero is not a story about a liar. It is what happens when a system full of smart, honest people never demands evidence.

The Machine

Juicero spent roughly three years engineering the Press. The industrial design came from Yves Béhar's studio Fuseproject; Evans boasted that the machine pressed with **four tons of force** — "enough to lift two Teslas." When hardware VC Ben Einstein tore one down in 2017, he called it "an incredibly complicated piece of engineering" — custom parts, machined metal, a drivetrain built to commercial-foodservice standards — the signature of a team designing without cost constraints. A far simpler machine, he concluded, would have made the same juice for hundreds of dollars less.

The Press was Wi-Fi-connected. Each Produce Pack carried a QR code the machine scanned and verified online before it would press — framed as food safety (refuse expired packs, enable instant recalls), later recognized as what it also was: DRM for juice. No Juicero pack, no press. No internet, no juice.

The Model: Razors, Blades, and a Cold Chain

The business model was the sacred geometry of Silicon Valley hardware: **razor and blades.** Sell the Press for $699; sell Produce Packs — washed, chopped, portioned produce in a pouch — for $4 to $10 each, subscription only, never in stores. Packs lived about eight days and needed a refrigerated supply chain, so launch would cover California only. A daily-juice household would spend roughly $30–50 a week on packs, forever. Hardware margin plus recurring revenue plus a proprietary consumable: on a spreadsheet, it was beautiful.

The Money and the Pattern-Match

The money believed. Between 2014 and 2017 Juicero raised about **$120 million**. The **$70 million Series B**, led by Artis Ventures and announced on March 31, 2016 — launch week — included Kleiner Perkins, GV (Google Ventures), Thrive Capital, Campbell Soup Company, Two Sigma Ventures, DBL Partners, First Beverage Group, and Acre Venture Partners.

The pattern-matches were irresistible. In early 2014, Google had paid $3.2 billion for Nest — beautiful connected hardware was venture-scale. In December 2015 — weeks before our decision point — Keurig agreed to be acquired for roughly $14 billion, the ultimate validation of machine-plus-pods economics. Cold-pressed was the fastest-growing corner of the US

juice market, with urban professionals paying $8–12 a bottle. Juicero looked like Nest times Keurig times wellness.

Artis Ventures' Mike Harden told TechCrunch his firm led the round "largely because of the quality and design of its hardware."

Read that sentence again. It is the thesis of this case. The diligence was about the **machine**. The open question was about the **customer** — and it stayed open.

The Situation

A note on sources: every external fact in this case — dates, prices, funding, quotes — is documented and googleable. The deliberation below is a classroom reconstruction; no minutes of such a meeting exist. The three options were genuinely available.

Winter 2015–16: Eight Weeks to Launch

Picture the company in January 2016. The tooling is finished. The cold-chain and pack operation is being built out. The Series B that will be announced March 31 is coming together. The plan: launch in March at $699, California only, packs by subscription. Three years of work are about to meet the market.

And here is what the company does **not** have: a single dollar of revenue from a stranger, a single demand test in the wild, a single piece of evidence that anyone outside the building will pay $699 for a machine — rather than for the juice, which is really the pack, which is really a subscription to washed, chopped produce.

One physical fact sits quietly at the center of everything. Anything soft enough for a countertop press to squeeze is soft enough for a pair of hands. Every employee who ever held a Produce Pack held the company's cheapest, fastest, most brutal experiment. Running it required no budget, no permission, no code — only the willingness to let the answer count.

The Strategic Options

Option A: Ship the Press as Planned

Launch in March at $699, California first, national later. The plan of record.

Rationale: - The story is coherent and funded: Keurig economics, Nest-grade design, a locked ecosystem. The Series B is underwriting this plan. - The QR/Wi-Fi system is the moat. A pack-only business is copyable by any commissary; a hardware-enforced

subscription is not. - Premium-first is the proven hardware playbook (Tesla Roadster first, mass market later). - Delay burns cash on a cold chain and a large team with no revenue — and press, hiring, and the next round are all staged on a March launch.

Risks: - Zero evidence anyone wants the machine. If the value lives in the pack, the $699 Press is a toll gate in front of your own subscription. - A premium price on an unvalidated job produces the worst outcome: slow sales you cannot diagnose, because you never isolated what customers pay for. - Hardware is unforgiving: tooling and inventory commitments make every post-launch pivot slower and more expensive.

Option B: Test the Job First

Delay one quarter and run cheap experiments that isolate what, exactly, customers will pay for (Exhibit D). The centerpiece: a **concierge test** — deliver packs by subscription to a few dozen Bay Area households with no Press at all (hands, or a $20 manual press), and measure whether people pay, stay, and reorder. Alongside it: the €0 hand-squeeze comparison, a fake-door pricing test, and interviews with people already paying $10 a bottle at juice bars.

Rationale: - The company is about to bet ~$120 million on an assumption a stopwatch can test. Four weeks of evidence is cheap insurance on three years of engineering. - If people love the packs but not the Press, the company still wins — as a different company (Option C), before burning its credibility on a launch. - If people genuinely value the machine — consistency, cleanliness, ritual — launch with confidence and better pricing data.

Risks: - The Series B is closing on the hardware story. A test that might falsify your own round is an awkward conversation — which is precisely why nobody proposes it. - Delay is real money: payroll and cold-chain buildout continue; the wellness press cycle may cool. - Founder physics: Evans has three years and his identity in the Press. A test that could kill the machine will be experienced as betrayal, not diligence.

Option C: Become the Pack Company

Reposition before launch: Juicero is a **fresh produce-pack subscription company.** The pack is the product — washing, chopping, portioning, and cold-chain delivery is the hard, valuable work. Sell the Press near cost (or ship a simple manual press, or none) to remove every barrier between customers and the subscription.

Rationale: - Aligns the business with where customer value demonstrably sits: convenience and freshness, not force and firmware. - Subscription revenue compounds immediately, with no $699 wall in front of it. - The cold chain and produce operations — the parts investors undervalued — become the moat instead of the QR code.

Risks: - Without hardware lock-in, what stops Whole Foods or any commissary from copying the pack? (Counter-question: did the hardware ever really stop them?) - Investors did not fund a food-logistics CPG at hardware multiples; repositioning means renegotiating the story mid-round. - Fresh-food margins are brutally thin; the $699 Press was carrying the unit economics on the spreadsheet.

The Pressure to Ship

Weigh the forces in the room, because they — not the arguments — usually decide. Three years of sunk engineering. A founder whose identity is fused to the machine. A closing $70 million round premised on hardware. Employees hired to launch a press. A press cycle scheduled. And nobody in the system — founder, board, engineer, designer — whose job it is to say: before we do this, prove someone wants it.

The Financial Clock

Illustrative estimates for classroom discussion — Juicero never disclosed burn figures. A hardware startup with a large engineering team, a produce operation, and refrigerated logistics in San Francisco plausibly burns $2–4 million a month. At that rate, even $120 million is roughly three to four years of life, with manufacturing working capital still to come. The money changes one thing only: how long the company can survive **without evidence**. It does not change whether the evidence exists.

The Decision Point

It is **January 2016.** The launch is roughly eight weeks away. Doug Evans and the board must confirm the plan of record.

The Decision Evans and the Board Must Make

Core question: Do you ship the $699 Press in March as planned — or do you first demand evidence that the customer's job needs the machine at all?

And underneath it, the question this course is built on: **what does a board owe a founder it believes in?** Belief, or a demand for evidence? The investors bought the story. The founder lived the story. Nobody squeezed the bag.

Questions for Deliberation

1. **The €0 experiment:** The hand-squeeze test costs nothing and takes 90 seconds. List the psychological, financial, and social reasons nobody in this system runs it — or lets it count. Who benefits from not knowing?
2. **Evidence vs. narrative:** Artis led the Series B "largely because of the quality and design of its hardware." What evidence did investors actually collect, and what evidence did the decision actually require? Write both lists side by side.
3. **The job to be done:** What is a customer hiring when they pay for cold-pressed juice at home — the machine, the juice, the convenience, or the identity ("I do the healthy thing")? For each answer, does the $699 Press help or hurt?
4. **Does money buy the right to skip validation?** Would a bootstrapped Juicero — forced to sell something in month three — have discovered the truth in 2014? Make the argument that the $120 million caused the failure rather than merely funding it.
5. **Design Option B properly:** Specify three tests, four weeks, under €5,000 total — and for each, a pre-committed kill threshold: which result kills the Press, which kills the pack, which kills the company. (Your own team will be held to this standard from this week on.)
6. **Base rates:** Organic Avenue — the founder's previous juice company — went bankrupt in October 2015. Most well-funded hardware startups fail. Looking only at the reference class, what success probability would you have assigned in January 2016, and what evidence would have moved it?

Exhibits

Exhibit A: The Offer, Winter 2015–16 (Public Facts)

Element	Detail
Product	Juicero Press — Wi-Fi-connected countertop cold-press juicer
Launch price	$699 (March 2016; cut to $399 in January 2017)
Consumable	Produce Packs — single-serving pouches of washed, pre-chopped produce
Pack price	$4–10 at launch (later $5–7), subscription only, never in stores
Pack shelf life	~8 days
Lock-in	QR code on every pack, verified online before pressing; no Wi-Fi, no juice
Geography at launch	California only (refrigerated supply chain)

Exhibit B: The Money and the Pattern-Match (Public Facts)

Fact	Detail
Total raised 2014–2017	~$120 million
Series B	$70M, announced March 31, 2016 (launch week), led by Artis Ventures
Investors (Series A & B)	Kleiner Perkins, GV, Thrive Capital, Campbell Soup Co., Two Sigma Ventures, DBL Partners, First Beverage Group, Acre Venture Partners
The pattern-matches	Nest to Google for $3.2B (2014); Keurig acquired for ~$14B (Dec 2015); cold-pressed juice boom at $8–12 a bottle

Key insight: every row is true, and none of them is evidence that anyone will pay $699 for this machine. Pattern-matching is the highest-status substitute for validation.

Exhibit C: Pre-Launch Board Memo (Reconstructed)

Illustrative reconstruction — no such memo is public. This is the bull case in its strongest form, as it would plausibly have been argued.

> **Juicero — Launch Readiness, January 2016**
>
> Recommendation: proceed with March launch at $699.
>
> 1. **The system is the moat.** Anyone can chop produce. Nobody else has a hardware-enforced, QR-verified, closed-loop fresh-food platform. The Press is our Kindle: sell the razor, own the blades forever.
> 2. **Category tailwinds are historic.** Keurig just sold for ~$14B. Nest proved premium connected hardware. Cold-pressed is the fastest-growing juice segment.
> 3. **Delay has no upside.** Burn continues either way; the press cycle is staged; the Series B is priced on this plan. Launching is how we learn.
>
> Open item (parking lot): pack-only demand testing — deferred until post-launch.

Discussion prompt: find the sentence in this memo that killed the company.

Exhibit D: The Option-B Test Menu

Illustrative teaching reconstruction — these tests were available in 2015–16; none was publicly run. Costs are estimates. This table is also your template: your team will produce one like it this semester.

Test	Cost	Time	Question answered	Pre-committed kill threshold (example)
Hand-squeeze comparison	€0	1 afternoon	Does the Press beat hands enough to justify $699?	≥7 of 10 target users call the hand result "good enough" — the price is dead
Concierge pack subscription, no Press	<€2,000	4 weeks	Will people pay ~$30–40/week for packs alone — and stay?	<50% reorder in week 4 kills the pack thesis
Fake-door pricing pages ($699 / $299 / pack-only)	<€500	2 weeks	What are people buying — machine or convenience?	Deposit rate at $699 below 20% of pack-only rate kills premium hardware
Juice-bar intercepts (50 buyers of $10 bottles)	€0	1 week	Do proven payers want this at home?	<10 of 50 pre-order anything — question the category

Total: under €2,500 and five weeks — against $120 million and four years.

Exhibit E: What $120 Million Bought vs. What a €0 Hand-Squeeze Test Would Have Shown

For the autopsy debrief — this exhibit uses information from after the decision point.

What $120 million bought (2013–2017)	What a €0 test would have shown (any afternoon from 2014)
Four tons of pressing force — "enough to lift two Teslas"	Hands: ~7.5 oz in ~90 seconds. Machine: 8 oz in ~2 minutes. The hands are faster.
"An incredibly complicated piece of engineering" (Ben Einstein's teardown) — no cost constraints	The value lives in the **pack** — washing, chopping, portioning, cold-chain delivery — not in the press
Wi-Fi module, QR scanner, app, DRM infrastructure	The job is "healthy habit with zero effort"; a pouch and a delivery slot do it — the machine adds a $699 toll
Yves Béhar design; 232 employees (June 2017)	Whether anyone would subscribe to packs **without** the machine — the question that decided everything
Seventeen months of post-launch life	The exact finding Bloomberg published on April 19, 2017 — in a 90-second video

To be fair, run the steelman: CEO Jeff Dunn argued hand-squeezing is messy and the system's value was habit-building — reminders, freshness, zero cleanup. The test would not have proven the machine worthless. It would have proven something more useful: **the delta between machine and hands was too small to carry $699** — learnable for free, in private, in 2014, instead of publicly, fatally, in 2017.

The test was never expensive. Not running it was.

Exhibit F: The Validation Questions Never Asked — Your Course Map

For the autopsy debrief. Every question Juicero skipped is a module in this course. This case is the overture; the semester is the answer.

Module	Core question of the module	The question Juicero never answered
M01 — Team Foundations	Why do the best teams beat the best ideas?	Who on this team is paid to disagree? Juicero had believers and builders — no owner of disconfirming evidence
M02 — Finding Ideas	Where do startup ideas actually come from?	Is this a discovered customer struggle — or a founder's identity wearing a business plan?
M03 — Problem Space	Is this a real problem — or just an interesting one?	What job does a $699 press do that hands, a blender, or the juice bar downstairs doesn't?
M04 — Validating Problems	What evidence would change your mind?	What is the cheapest experiment that could prove us wrong — and what result counts as fatal?
M05 — Solution Space	Of all the ways to solve this problem, why this one?	Why a four-ton connected press, and not the pack alone, a $20 manual press, or a delivery service? Right — or just impressive and fundable?
M06 — Prototyping	What is the fastest thing you can build to learn?	The pack was the prototype. What could a concierge week have taught before three years of tooling?
M07 — Rapid Validation	Why should this startup die?	What number, by what date, kills this? No kill criteria existed — so the market wrote them instead
M08 — First Users	Who are your first ten customers — by name?	Name ten households — not investors, not employees — who will pay $699 plus $35 a week. Nobody could

Questions for Class Discussion

1. **The autopsy question:** "They built something nobody wanted" is true but lazy. Be precise: what exactly was the self-inflicted wound, in which month was it inflicted, and when was it last reversible?

2. **Why did nobody squeeze the bag?** Investors did diligence, journalists covered the launch for thirteen months, hundreds of employees handled packs daily. Explain the mechanism of collective non-testing — incentives, status, deference — not just the fact of it.
3. **Impressive vs. needed:** The Press was genuinely excellent engineering; the teardown proved it. Why is "is it impressive?" the wrong question, and what exact question replaces it? Where in your own project ideas are you answering the wrong one?
4. **What does $120 million buy?** Make the uncomfortable argument: the funding didn't fail to save Juicero — it actively harmed it, by subsidizing three evidence-free years. What is the equivalent subsidy in a student project (grades, applause, demo days)?
5. **The junior engineer:** It is 2015. You are the newest hire, and you have just hand-squeezed a pack at your desk. It worked. What do you do — and what must be true of the team's culture for that observation to reach the board? (Carry this into Module 01.)
6. **Write the kill criteria:** Draft Juicero's kill criteria as they should have stood on launch day, March 2016 — three measurable, dated conditions. Which would have forced September 2017's decision by September 2016, with $60 million still in the bank?

Epilogue (read after class)

Here is what actually happened.

Juicero launched in March 2016 at $699, California only. Sales were slow. In October 2016 Doug Evans stepped aside as CEO, replaced by Jeff Dunn, the former president of Coca-Cola North America. In January 2017, Fortune reported the price cut from $699 to $399 — "12 to 18 months ahead of schedule, in response to slow sales."

On April 19, 2017, Bloomberg's Ellen Huet and Olivia Zaleski published "Silicon Valley's $400 Juicer May Be Feeling the Squeeze." Their hands beat the machine: 7.5 ounces in 90 seconds versus 8 ounces in two minutes. Two investors admitted surprise. The internet did the rest.

The response was sincere and, in its way, heartbreaking. Dunn published a Medium post arguing that "the value of Juicero is more than a glass of cold-pressed juice" — habit, freshness verification, convenience — and offered every customer a full refund for thirty days. Ben Einstein's teardown then showed the world what $120 million of engineering without a validated customer looks like from the inside.

On September 1, 2017, Juicero suspended all sales, offered refunds on the Press for ninety days, and announced it was seeking an acquirer with a national fresh-food supply chain. None came. The company was dead roughly seventeen months after launch. Evans, a believer to the end, spent the aftermath promoting "raw," untreated spring water — the wellness conviction intact, the evidence habit still missing.

Now hold this case against the one thing it is not. Frauds like Wirecard kill companies with lies. Juicero involved no lies. Evans believed. The engineers built exactly what was asked, superbly. The investors — among the world's best — believed. Everyone was honest, smart, and hardworking, and the company still died of the most common startup death there is: **building something nobody wanted, and refusing to find out.** The system never demanded evidence, so the market delivered it — publicly, all at once, with a stopwatch.

The bag was always right there. Ninety seconds. €0.

This course exists so that this never happens to you. You will name real users, collect real revenue, and — starting this week, week 0 — you will write kill criteria before you fall in love. Not because your ideas are bad, but because Juicero's wasn't obviously bad either. It was just never tested. Yours will be.

Teaching case written for this course from public sources (Bloomberg News, TechCrunch, Fortune, The Guardian, BBC, Ars Technica, company statements, and Ben Einstein's Bolt teardown). Exhibits marked as illustrative are reconstructions for classroom use.